

**INSTITUTE OF ACTUARIES OF INDIA**

**EXAMINATIONS**

**May 2026**

**CB1 - Business Finance**

**Time allowed: 3 Hours 15 Minutes**

**Total Marks: 100**

**Q.1)** Which of the following situations will cause the Payback Period and IRR to rank two projects in opposite order?

- A. Both projects have identical timing of cash flows but different total inflows.
- B. The projects differ only in initial investment but have proportionally similar cash flows.
- C. One project has conventional cash flows; the other has back-loaded cash flows
- D. Both projects have identical NPV profiles but different payback periods.
- E. Both A and B are correct.

[2 marks]

**Q.2)** Which of the following scenarios will always increase the Current Ratio, assuming all other items remain constant and provided Current Assets are higher than Current Liability?

- A. Paying off current liabilities using cash
- B. Collecting long-outstanding trade receivables
- C. Purchasing inventory on credit
- D. Writing off obsolete inventory
- E. None of the above

[2 marks]

**Q.3)** A company increases its debt. Under which condition will its WACC increase instead of decrease?

- A. Cost of debt is lower than cost of equity
- B. Interest tax shield is positive
- C. Probability of financial distress increases sharply
- D. Dividend payout ratio increases
- E. Both A and B

[2 marks]

**Q.4)** A project with an IRR of 18% is evaluated at a discount rate of 15%. Which statement is true?

- A. NPV is positive
- B. NPV is zero
- C. NPV is negative
- D. Cannot be determined
- E. Both B and C

[2 marks]

**Q.5)** A firm enters a **6-month forward** with a small trader. After three months, forward value moves heavily in the firm's favour. Which risk is now the MOST significant?

- A. Market risk
- B. Liquidity risk
- C. Counterparty default risk
- D. Settlement risk on exchange

E. None of the above

[2 marks]

**Q.6)** A company enters an interest rate swap, where it pays fixed interest and receives floating interest. When interest rates rise, the swap is:

- A. Beneficial to the company
- B. Loss-making
- C. Unaffected
- D. Depends on swap maturity only
- E. Cannot be determined

[2 marks]

**Q.7)** A company creates a large, expected credit loss based on forward-looking data. Which concept primarily supports this?

- A. Realisation
- B. Prudence (Conservatism)
- C. Periodicity
- D. Money measurement
- E. Both C and D

[2 marks]

**Q.8)** Depreciation continues even if an asset's market value increases. Which concept supports this?

- A. Matching
- B. Prudence
- C. Cost concept
- D. Dual aspect
- E. Both A and B

[2 marks]

**Q.9)** A trader buys a call option with strike ₹150 and premium ₹12. The spot price at expiry is ₹160. What is the net payoff?

- A. Rs. 10
- B. Rs. -2
- C. Rs. 8
- D. Rs. 12
- E. Rs. 0

[2 marks]

**Q.10)** A company issues participating preference shares. What does this imply?

- A. They participate in management decisions
- B. They receive extra dividend after a fixed rate, subject to profits
- C. They are automatically convertible into equity

D. They have higher seniority than debentures

E. Both A and B

[2 marks]

**Q.11)** Explain the concept of financial derivatives, outlining their key types and the primary purposes for which firms use them. Additionally, discuss how derivatives help in managing different types of financial risks, providing suitable examples. [7 marks]

**Q.12)** Insurance companies have multiple stakeholders whose objectives may not always align. Explain the potential conflicts of interest that may arise between

- i) shareholders,
- ii) policyholders,
- iii) regulators, and
- iv) management of an insurance company.

Illustrate your answer with suitable examples.

[8 marks]

**Q.13)** XYZ Manufacturing Ltd. provides you the following Trial Balance for the year ended 31 March 20X5. Trial Balance as at 31-3-20X5

| Particulars                     | Dr (₹)    | Cr (₹)    |
|---------------------------------|-----------|-----------|
| Equity Share Capital (₹10 each) |           | 20,00,000 |
| 12% Debentures                  |           | 5,00,000  |
| Sales                           |           | 38,07,000 |
| Purchases                       | 22,00,000 |           |
| Opening Inventory               | 4,20,000  |           |
| Wages                           | 1,08,000  |           |
| Carriage Inwards                | 42,000    |           |
| Carriage Outwards               | 56,000    |           |
| Plant & Machinery               | 18,00,000 |           |
| Furniture                       | 3,00,000  |           |
| Trade Receivables               | 5,20,000  |           |
| General Expenses                | 1,24,000  |           |
| Rent                            | 1,10,000  |           |
| Cash at Bank                    | 7,17,000  |           |
| Preliminary Expenses            | 60,000    |           |
| Provision for Doubtful Debts    |           | 30,000    |
| Interest on Debentures          | 30,000    |           |
| Profit & Loss A/c (Opening)     |           | 1,50,000  |
| Totals                          | 64,87,000 | 64,87,000 |

**Additional Information:**

- Closing Inventory is valued at ₹5,10,000.
- Provide depreciation:
  - Plant & Machinery @ 10% p.a.
  - Furniture @ 5% p.a.
- Create a new provision for doubtful debts @ 5% of Trade Receivables.

4. Write off ₹20,000 of preliminary expenses.
5. Outstanding Wages = ₹40,000.
6. Prepaid rent = ₹10,000.
7. Corporate tax rate = 0% (ignore taxation).

**Requirement:**

Prepare the following for the year ended 31-3-20X5:

- i) Statement of Profit & Loss [14]
  - ii) Balance Sheet as per Companies Act format [10]
- [24 marks]**

**Q.14)** ABC Ltd. has provided the following financial information for the year ended 31 March 20X5:

| Particulars          | Amount (₹) |
|----------------------|------------|
| Sales                | 48,00,000  |
| Cost of Goods Sold   | 32,00,000  |
| Net Profit after tax | 4,80,000   |
| Current Assets       | 12,50,000  |
| Current Liabilities  | 6,25,000   |
| Inventories          | 3,00,000   |
| Trade Receivables    | 4,50,000   |
| Shareholders' Equity | 20,00,000  |
| Total Assets         | 32,00,000  |

Required:

Compute the following ratios and briefly comment on the liquidity and profitability of the company:

- i) Current Ratio [1]
  - ii) Quick Ratio [1]
  - iii) Gross Profit Ratio [1]
  - iv) Net Profit Ratio [1]
  - v) Return on Equity (ROE) [1]
  - vi) Total Asset Turnover Ratio [1]
  - vii) A short comment (2–3 lines) on liquidity and profitability [2]
- [8 marks]**

**Q.15)** Explain the key features of loans, debentures, and bonds. Describe how each of these sources of finance can be used by a company to raise long-term funds. Give simple examples to illustrate your answer. **[12 marks]**

**Q.16)** RNC is a chain of hotels listed on the stock exchange and is currently trading at a Price-Earning (P/E) ratio significantly lower than the other hotel chains.

i) Explain the significance of the low P/E ratio. [6]

ii) Discuss possible reasons why a RNC may have a low P/E ratio as compared to its competitors. [5]

[11 marks]

**Q.17)** XYZ regularly arranges for hotel accommodation for employees who travel for official work, training programs or project assignments. Recently, due to limited hotel availability in major cities, many employees have faced difficulties in obtaining suitable accommodation. Some employees have raised concerns about the safety, fairness in allocation and transparency in travel arrangements.

From the Corporate Governance perspective discuss the responsibilities of the Board of Directors and management in addressing such operational issues, explain how corporate governance principles such as fairness, transparency, accountability and responsibility apply in this situation. [6 marks]

**Q.18)** Outline four types of Crowdfunding as part of Project Financing. [4 marks]

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